

Warren Buffett is worth \$100+ Billion. But I bet he will be happy to pay \$99 Billion to be 40 again. It indicates that 'Time' is our greatest asset. Barring Warren Buffett & team, and his followers, every one of us wants to make quick money.

It means we want to take the advantage of 'Time' which is our greatest asset. If not, you wouldn't have picked up this book.

Money provides greater comfort and luxury in life. Everyone thinks intraday trading is the best platform to generate quick money.

Apart from casinos, the lottery, and gambling, there is no doubt that intraday trading is one of the quick platforms to make money. But, like the former three, it comes with some risks and demands specific skills.

If you are taking trades without knowing the mitigating factors for all these risks and before developing the necessary skills, you will only end up being another losing player.

2 – Small Capital

A few years back, I taught a positional breakout trading system to a small committed group of traders. It involved one catch-up meeting at the end of every month.

In one such meeting, I noticed that many members from the group were not so happy. I couldn't guess the reason, because most of them had taken around 8-10 trades in the previous month. Out of all these trades, 3-4 trades were breakeven, 1 trade took the stop-loss, and the remaining trades yielded small profits.

So, overall they made around 2-4% returns in that month. This performance came even when the Nifty was in a downtrend. But most of them were not satisfied.

When I dig into the situation, I understand the reason. I instructed them to start with a small capital of Rs.1,00,000 (\$1300 approx.). So, using that capital, they made around Rs.2,000 – Rs.4,000 (\$25 to \$50).

Most of them were looking at only how much money they made (i.e., Rs.2,000 – Rs.4,000). They were thinking it is difficult to pay the bills using this small amount.